

Verified, AI-Insulated California Municipals

A directed separately-managed-account strategy that earns a structural edge two ways: **(1) buying verified, agency-unrated insulated credits the index won't hold, and (2) providing liquidity** — standing as the bid for forced odd-lot sellers rather than paying the spread. Tax-efficient income with a built-in hedge against a tech / AI-driven state-revenue shock.

~100–150

bps of after-tax tax-equivalent
edge
over a passive CA muni ETF
(modeled)

~8.0%

Target client after-tax TEY
net of fee (vs ~7.0–7.5% ETF)

\$20–50M

Capacity ceiling — boutique
by design, not a scalable fund

\$1M

Proof-of-concept first
(running now), then scale

Strategist supplies the verification engine and the liquidity-provision discipline. The multi-family office supplies clients, custody, and — the gating dependency — institutional execution access.

THE OPPORTUNITY

The standard products leave the edge on the table.

California top-bracket taxpayers want tax-exempt income. But every off-the-shelf vehicle excludes itself, by policy, from exactly the paper where the after-tax yield and the liquidity premium live.

Muni ETFs / index SMAs

Hold **rated, liquid, 5%-coupon paper** — and, critically, they hold the **State-GO / appropriation / lease credits most exposed to a capital-gains-tax collapse** in an AI/tech drawdown. The index buys exactly the channel a California UHNW balance sheet should want to hedge.

Managed muni SMAs (e.g. Parametric)

Explicitly won't buy deep-discount or unrated paper. “We don't buy deep discount paper,” verbatim, from a recent desk note. That self-imposed exclusion is a hard house policy — and it is precisely where the after-tax yield and the liquidity premium sit.

The self-imposed exclusion is the opening

A buyer who **verifies the credit itself** — substituting independent, primary-source diligence for the missing agency rating — and who **provides rather than consumes liquidity** captures a premium the standard products structurally cannot. The gap is not a market mistake to be arbitrated away; it is a permanent feature of how the incumbents have chosen to operate.

WHAT COULD MAKE THIS WRONG

If the MFO's own platform repeats the same “no deep-discount / no unrated” house limit as a hard rule rather than a default it can waive for a client-directed mandate, the entire edge is inaccessible through this channel and the strategy must be self-directed elsewhere. Confirming the waiver is Step 1 of the ask.

Four contributors. Bounded, not stacked.

Source	What it is	Survives at scale?
Unrated-credit premium	Verified first-lien school GOs (SB-222 / Gov. Code §53515) and essential-service revenue yield more than rated index paper for the <i>same</i> legal credit. This is not reaching for yield: the names are unrated and thinly traded because they are <i>small</i> , not weak — default safety lives in the statutory lien and the ad-valorem levy, which pay identically whether a bond trades 5× a year or 500. Tradeability is a secondary-market property; default risk is a pledge property — the two are orthogonal, <i>conditional on the verification</i> that separates small-and-obscure from distressed-and-shunned. This is the core.	Yes — the core
Liquidity provision	Stand as the bid in offer-only names; buy from forced odd-lot sellers at a concession instead of lifting the dealer offer. Grows with book size and seller flow.	Yes — grows with book
AI-insulation tilt	Exclude the State-GF / income-tax channel. Dot-com precedent: CA capital-gains revenue –71%, State GO pressured 4–5 notches; school GO and water revenue untouched.	Yes — pays most in a crash
Fee + tax precision	~20–40 bps below a vanilla SMA; hold-to-maturity, no fund capital-gains distributions, de-minimis screened per name.	Yes

Net effect, honestly bounded

~100–150 bps of after-tax tax-equivalent yield over a passive CA muni ETF, *plus* a structural hedge no index can express. These contributors overlap — the figure is the bounded net, not a sum of four line items.

WHAT COULD MAKE THIS WRONG

The ~100–150 bps is **modeled, not yet a realized track record** (see caveats). The unrated-credit and tax-precision contributors are observable today in the live \$1M sleeve; the liquidity-provision contribution is the prospective piece the proof-of-concept exists to confirm.

Liquidity provision is the real story — and it wants scale.

The illiquidity that excludes other buyers is the **source of the return, not an obstacle** — *if you provide the liquidity instead of paying for it.*

Be the standing bid

A forced seller of a \$40k odd-lot insulated GO has almost no natural buyer. The patient standing bid **sets the price and collects the spread** — instead of paying it to a dealer on the way in.

It's a flow business

Returns scale with how much seller flow you absorb. A bigger book — standing as the bid across hundreds of names and participating in bid-wanted (BWICs) — captures **far more of the premium than a single account.**

It compounds the hedge

In an AI-driven sell-off, the strategy is **the standing bid while others are forced sellers** — in the assets that keep paying. The crash that threatens the rest of the balance sheet is when this sleeve buys cheapest.

The honest distinction — what is live vs. what the proof-of-concept tests

Today the live \$1M sleeve is still a **patient buyer working bids** — it pays a tight median round-trip spread (~0.36 pt) on a hold-to-maturity ladder. Turning that buyer into a **standing bid that collects the spread** requires the institutional execution access (resting bids + BWIC routing) that the MFO must supply. That is the single dependency that converts the modeled spread-capture into realized return — and it is what the proof-of-concept is designed to demonstrate.

A flow business with a hard ceiling.

	\$10M	\$20M	\$30M
Positions (verified names)	~150–250	~300–450	~450–600
Per-name size	\$25–100k	\$25–100k	\$25–100k
Execution mode	Resting bids at the trade tape + BWIC participation — provide, don't lift		

Capacity ceiling: ~\$20–50M

Past it, you become the market and the premium erodes. **Boutique by design.** Per-name size never exceeds demonstrated block depth (no market impact): thin discount names stay in \$25–40k clips; liquid names take up to \$100k.

What makes 300+ positions manageable

The verification, daily re-mark, continuing-disclosure monitoring, and hazard/tax screening are **automated**. The engine that makes hundreds of small positions tractable is the differentiator — not the bond-picking. The live \$1M sleeve already runs 25 positions on this discipline, with a 99/100 AI-insulation score and pledge-level credit read per CUSIP.

WHAT COULD MAKE THIS WRONG

Sizing past the ceiling kills the edge it is meant to scale. Position counts and per-name sizes are modeled targets keyed to demonstrated block depth; actual fills depend on seller flow, which is patient by nature (see deployment caveat).

What the top-bracket CA client actually gets.

~8.0% after-tax TEY

vs ~7.0–7.5% for a CA muni ETF. **Net of fee, still ahead** of a fee'd vanilla SMA. The live \$1M sleeve currently shows **8.19%** after-tax TEY at the conservative ×2.01 gross-up, de-minimis drag already deducted.

A macro hedge

Income that keeps paying — and a strategy that **buys at concessions** — precisely in the tech-crash scenario that threatens the rest of a California UHNW balance sheet. The one allocation that gets stronger when the equity book gets weaker.

Verified per name

Every name verified to a **primary-source standard** — pledge, tax status, fiscal certification, hazards, liquidity — with a per-CUSIP audit trail. Defensible diligence a client can read, not a black box.

Why this is differentiation the MFO can't buy off the shelf

An ETF holds the State GO the client should want to avoid. A managed SMA won't touch the deep-discount/unrated paper where the yield lives. This sleeve is a strategy the MFO's clients **cannot get from Parametric or an index product** — a verified, AI-insulation-hedged income sleeve, held directly, with the tax math done per name.

STRUCTURE & ROLES

A directed SMA — clean division of labor.

Vehicle: a directed / non-discretionary SMA. Each client holds the bonds directly, which sidesteps the redemption problem a pooled fund has with illiquid holdings.

Strategist (the engine)

- The verification engine — primary-source diligence per CUSIP, standing in for the missing agency rating
- The directed buy list — CUSIP, side, par, limit price, refreshed on cadence
- Ongoing surveillance — continuing-disclosure monitoring, daily re-marks, hazard/tax screening
- The liquidity-provision discipline — resting-bid sheets and BWIC selection

Multi-family office (the book & desk)

- Clients — the top-bracket California taxpayers the strategy is built for
- Custody & consolidated reporting alongside the rest of the client's assets
- **Execution access — the critical piece:** posting resting bids and routing bid-wanted; the institutional muni-desk flow a retail account simply cannot reach

The directed mechanic keeps roles clean

The strategist supplies a verified, limit-priced model and runs the surveillance; the MFO acts as executing broker and custodian, **not** as the discretionary manager or credit decision-maker for this sleeve. No substitution of any directed position without written authorization. That separation is what makes the deep-discount / unrated paper documentable as client-directed under the MFO's compliance.

Boutique by design. We say so plainly.

Munis are a thin-fee asset class. The honest economics here are **boutique**; the strength of the partnership is differentiation and client retention, **not rich fee revenue**. Illustrative at a **45 bps all-in strategy fee** — competitive vs. 25–40 bps for a vanilla SMA, justified by the ~100–150 bps edge delivered — split ~60/40 strategist / MFO.

AUM	Total fee (45 bps)	Strategist share (~27 bps)	MFO share (~18 bps)
\$10M	\$45k	~\$27k	~\$18k
\$20M	\$90k	~\$54k	~\$36k
\$30M	\$135k	~\$81k	~\$54k
~\$50M (ceiling)	\$225k	~\$135k	~\$90k

Split rationale

The strategist supplies the alpha-generating IP (verification + liquidity discipline); the MFO supplies capital, custody, and the desk. A sub-advisory ~60/40 split reflects that. **Optional:** a modest 10% performance fee on return above a CA muni index — on ~100 bps of alpha over \$20M, ~\$20k/yr, ~split. Strategist's own co-invested \$3–5M (~150 bps) adds ~\$5–7k/yr and signals alignment.

Realistic total — stated plainly

~\$30–90k/yr to the strategist at \$10–30M, up to ~\$135k near the capacity ceiling, plus own-capital edge. A genuine IP-monetization and supplementary income — **not a scalable fund, and we should say so**. The MFO's return here is client differentiation and retention, not the ~18 bps of fee.

THE CAVEATS — UP FRONT, NOT IN FOOTNOTES

Six limits we put on the table first.

A sophisticated MFO rewards candor — so here is what could go wrong, before the ask. Each is a boundary the strategy is already built to respect, not a risk we discovered late.

! Capacity is capped (~\$20–50M)

A boutique, not a scalable fund. Sizing past the ceiling kills the edge — the premium erodes the moment you become the market.

! Partly thesis, not yet a track record

The ~100–150 bps and the spread-capture are *modeled*. The \$1M proof-of-concept (running now) is the honest first step before scaling client capital.

! Execution access is the gating dependency

Without resting-bid + BWIC access, the liquidity-provision edge does not exist. This is the single thing the MFO must confirm it can provide.

! AI-insulation rates credit, not price

In a pure rate shock all munis fall together. The hedge is about *which pledges keep paying* in a tech-revenue collapse — not mark-to-market in a rate move.

! Deployment is slow

Provide-don't-chase means fill only when sellers appear. Patience is the price of the premium — the build window runs weeks, not days.

! Fees are thin

The value to the MFO is client differentiation and retention — a strategy clients can't get from Parametric or an ETF — not fee revenue. We don't pretend otherwise.

THE ASK

Three sequenced steps.

1

Confirm execution access

Confirm the MFO can provide **resting-bid posting + bid-wanted (BWIC) access** through its desk relationships — and that it can document deep-discount / unrated directed names as client-directed under its compliance. This is the gating dependency; without it, the liquidity-provision edge doesn't exist.

2

Run the \$1M proof-of-concept

Run the **\$1M proof-of-concept** as a directed mandate (terms drafted separately) to establish the track record and prove the spread-capture. Turns the modeled edge into a realized, defensible record before any client capital scales.

3

If it proves out, co-offer to clients

Co-offer the strategy to the MFO's **top-bracket California clients** as a differentiated, verified, AI-insulation-hedged income sleeve — on the economics in this deck. A boutique edge, sized to its ceiling.

Strategist supplies the engine; the MFO supplies the book and the desk. Bounded, defensible, honest — a boutique edge, sized to its ceiling, proven small before it is offered wide.